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“What the Federal Reserve is trying to do is balance having an interest rate that’s high enough for the creditor, but not so high for the debtor. This will still have an effect on all markets, particularly on stocks”

external factors—the conflicts between countries, the military build-up, and such; they are all, each one of those, at the highest levels since the tumultuous 1930–45 period. And that’s a period we’re in again.

What we’re seeing is no longer the minor country confrontations—like the United States against Afghanistan or Iraq. It is now Russia and China. And there are five kinds of wars. There is a trade war, a technology war, a geopolitical influence war, a capital and economic war, and a military war—five of those. We are already in the first four of those. Even if we never go to a major military war, we still have damage happening. Globalisation, as we know it, is declining. Because of fears of those looming wars, there is the desire for self-sufficiency. It used to be that the world would come closer to producing items wherever it was most efficient. That is now changing. Now, it’s wherever it’s most secure.

We have to assess investment destinations keeping this in mind. Neutrality is important. The three things

that I look at while assessing countries is first the financials: Do they earn more than they are spending financially? Do they have a good income statement and good balance sheet? Second, do people within the country operate in a harmonious way? Healthy competition, yes, but not destructive political, dysfunctional behaviour. And three, are they at risk of an international war? Or are they more neutral and staying out of the international war? If they tick these three boxes, I favour those countries.

Q: And using those three parameters, how would you compare India and China today?

A: I think India has great potential. I use indicators, like the next 10 years’ expected growth rate, the cost of an educated person, barriers to trade and capital flows, levels of corruption, etc. And on balance, India should have the highest growth rate of any country. It’s opening up to the global capital markets. And it is largely taking a neutral position in these global conflicts. Of course, it needs to develop a very strong economy hinging on technology. As it stands, a number of indicators suggest that it should do very well over the next 10 years. So, it’s at an earlier stage of development, but should be a good investing environment.

Q: Finally, what kind of a cycle do you foresee over the next few years? Will these difficulties that you outline get resolved or does it look really tricky?

A: I predict the cycle like this. We have a political election now in the United States, [the] mid-terms. I think that we also have an economic cycle. Both are going to get worse, in the United States and elsewhere. You’re going to have more internal conflict, and you’re going to have at the same time, more economic problems like stagflation and that’ll take us into—in the United States—the 2024 election. Similar patterns are visible around the world. I think all this is going to be very difficult. Not least because the situation with international conflicts is not going to improve substantially. So, as we go into the 2024 period, you’re going to encounter more of those problems.

So if I was to pick a period of time that I think will be particularly challenging, it’ll have to be in the vicinity of ’24–25, perhaps. The main thing is that we don’t get into an all-out war. In other words, if this just becomes an evolutionary struggle, we’ll get through this. Even in depressions most people remain employed; even in wars, most people don’t get killed. It takes a while, but we get through it. The main thing is, you know, avoiding the wars. **BT**